

Accounting for Business Combinations

Slide deck 6

Agenda

I. Preface on Business Combinations

II. Consolidation and the Concept of “*control*”

III. The preparation of the consolidated financial statements

A. Separate F/S collection and pre-consolidation adjustments to make them uniform

B. Aggregation of the separate F/S

C. Consolidation adjustments

- 1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
- 2) Depreciation/amortization of plusvalues (minusvalues)
- 3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
- 4) Elimination of intercompany profits on sale of goods
- 5) Elimination of intercompany profits on sale of long-lived assets
- 6) Elimination of intercompany dividends
- 7) **Computation of NC net income**

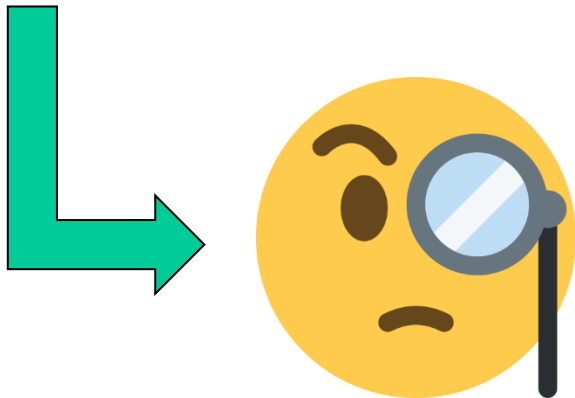
D. The completion of the work: the consolidated financial statements

IIIC-7. Computation of NC net income

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In the case of a non-wholly owned subsidiary:

1. Assets are recognized at 100% in the consolidated financial statements.
2. Liabilities are recognized at 100% in the consolidated financial statements.
3. Equity includes a separate line for non-controlling interests (NCI).



If a parent owns 70% of a subsidiary, there are two possible approaches to consolidation:

1. *Recognize only 70% of assets, liabilities, and equity → incorrect*
2. *Recognize 100% of assets, liabilities, and equity, and then present 30% as non-controlling interests → correct (IFRS 10)*

IIIC-7. Computation of NC net income

Recall that shareholders' equity includes at least:

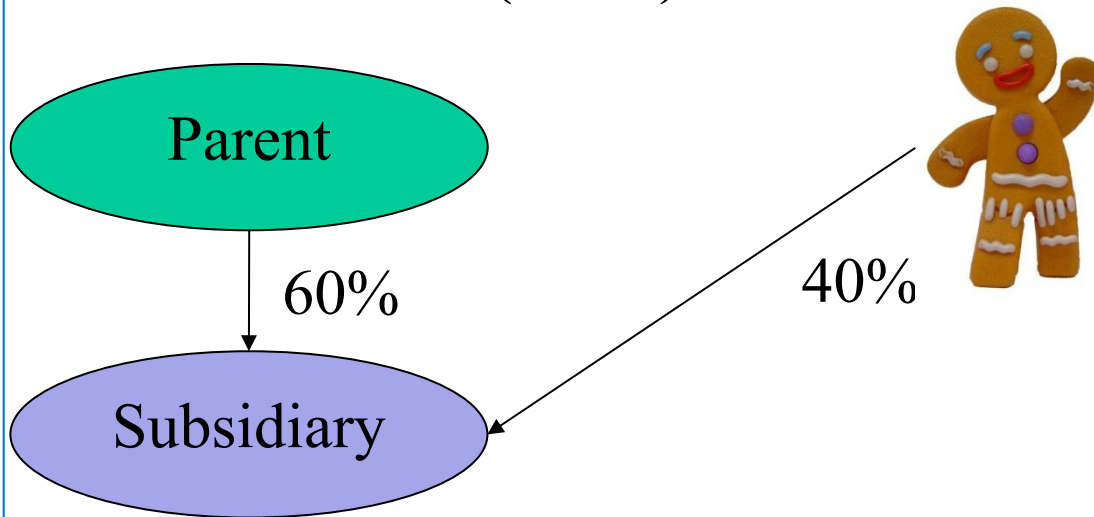
1. Common stock
2. Retained earnings (from prior periods)
3. Profit/loss for the year

Non-controlling interests are allocated items (i) and (ii) during the investment elimination.

The final consolidation adjustment consists of allocating to non-controlling interests their share of (iii) profit/loss for the year.

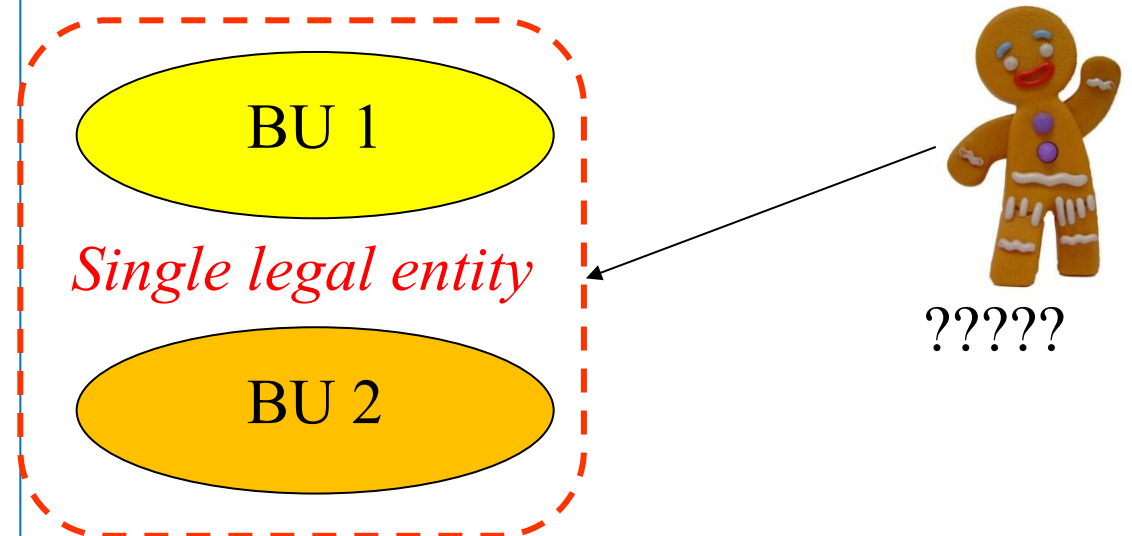
IMPORTANT REMARK

SEPARATE FINANCIAL STATEMENTS (REAL)



The actual profit attributable to non-controlling interests is determined on a separate financial statements basis. Minorities are entitled to dividends based on (i) their ownership percentage in the subsidiary and (ii) the subsidiary's profit only.

CONSOLIDATED FINANCIAL STATEMENTS (SIMULATION)

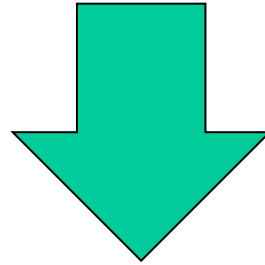


Profit allocation in consolidation is not directly observable, as consolidated financial statements simulate a merger of the companies. Non-controlling interests are therefore allocated a share of consolidated profit, even though part of that profit is generated by the Parent.

IIIC-7. Computation of NC net income



PROBLEM: how do we compute NCI portion of profit in our “simulation”?



WE USE A STANDARDIZED FORMULA APPROACH

Although no standardized formula is perfectly accurate, remember that “real” dividends for non-controlling interests are based on the subsidiary’s profit in its separate financial statements. Therefore, the allocation of profit to non-controlling interests in consolidated financial statements is only indicative and follows a simplified, standardized approach.

IIIC-7. Computation of NC net income

To compute the NCI share of income, formula is as follows:

$$\text{NCI NI} = (\text{PrSub} \pm \text{Adj}) * \% \text{NCI}$$

whereas

1. NCI NI = Net Income attributable to Non Controlling Interest
2. PrSub = Net profit realized by the subsidiary in its separate financial statements
3. Adj = adjustments to net profit due to consolidation entries, whereas the adjustments pertain the subsidiary (*see next slide*)
4. %NCI = percentage owned by the minorities in the common stock of the subsidiary

Example: minorities own 10%, profit of the subsidiary is 900 and adjustments are - 150

Adjustments to take into consideration

The adjustments to consider are the following:

1. Adjustments arising from depreciation/amortization of fair value surpluses,
2. Adjustments from upstream transactions (i.e., transactions where the Subsidiary is the seller/provider and the Parent is the buyer/beneficiary).

Once the NCI share of net income is determined, the consolidation adjustment is:

1. **Decrease “net profit” in the income statement**
2. **Increase “NCI share of income” in the income statement**
3. **Decrease “net income” in equity**
4. **Increase “NCI share of income” in equity**

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Exercise

EXERCISE 16 SET “CONSOLIDATION EXERCISES”

On 1/1/X, Alfa purchases 70% of the shares in company Beta, for a total amount of € 8.000. On the same date the book value of Beta's equity is € 7.500.

At acquisition date, the fair value of assets and liabilities of Beta equals their book value, except for machineries, which are recorded at a book value of 500 and the fair value of which is € 800 (surplus values include tax effect). Useful life of these machineries has been estimated to be 10 years and surplus values must be depreciated evenly.

The positive consolidation difference is recorded as goodwill, the recoverable amount of which at consolidation date is greater than its book value.

During the year intragroup transactions had not affected the MI share of net income.

Using the worksheet, make the necessary consolidation entries assigning to MI their share of net income (consider that both companies apply a tax rate of 50%).